



ZESA HOLDINGS (PVT) LIMITED

ACCOUNTING PROCEDURE MANUAL

ZESA Holdings & its Subsidiaries General ledger Accounting Manual

ACCOUNTING PROCEDURE MANUAL

GENERAL LEDGER

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GENERAL LEDGER OVERVIEW

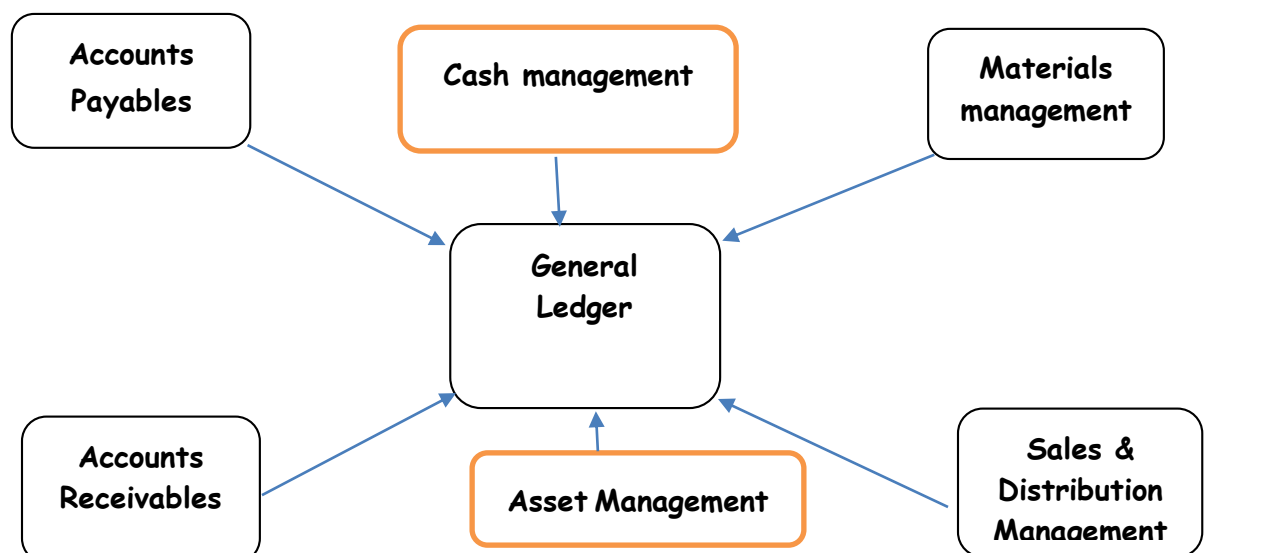
DEFINITION OF GENERAL LEDGER

General Ledger is a complete record of financial transactions and holds all the accounting information needed to prepare financial statements. The General Ledger includes accounts for assets, liabilities, owners' equity, revenue and expenses. It is typically used by businesses that employ the double-entry book keeping method - where each financial transaction is posted twice, as a debit and a credit entry. Because a debit in one account is offset by a credit in a different account, the sum of all debits will be equal to the sum of all credits.

Organisation

The General Ledger for the ZESA Holdings Group is fully integrated with other SAP modules namely Controlling, Materials Management, Sales and Distribution, Accounts payables, Accounts receivables, Asset accounting, and Cash management. It is within the General Ledger that all accounting postings are recorded. These postings are displayed in real – time, providing up to date visibility of the financial accounts.

The General Ledger module is the core of the SAP system. Many of the tables here under set out other modules used throughout the system. This is where data from all modules come together and where most of the financial reporting is done. The following illustrates the other modules that interface with the SAP General Ledger.



Definition:

Accounts Payables

Amounts which a company owes to vendors for products and services purchased on credit. This item appears on the company's Statement of Financial Position as a current liability, since the expectation is that the liability will be settled in less than a year. When accounts payable are paid off, it represents a negative cash flow for the company.

Accounts Receivable

Amounts which are owed to a company by customers for products and services provided on credit. This is treated as a current asset on a Statement of Financial Position. A specific sale is generally treated as an account receivable after an invoice is sent to a customer.

Asset Management

1. The management of a client's investments by a financial services company, usually an investment bank. The company will invest on behalf of its clients and give them access to a wide range of traditional and alternative product offerings that would not be offered to the average investor.
2. An account at a financial institution that includes checking services, credit cards, debit cards, margin loans, the automatic sweep of cash balances into a money market fund, as well as brokerage services.

Purchasing

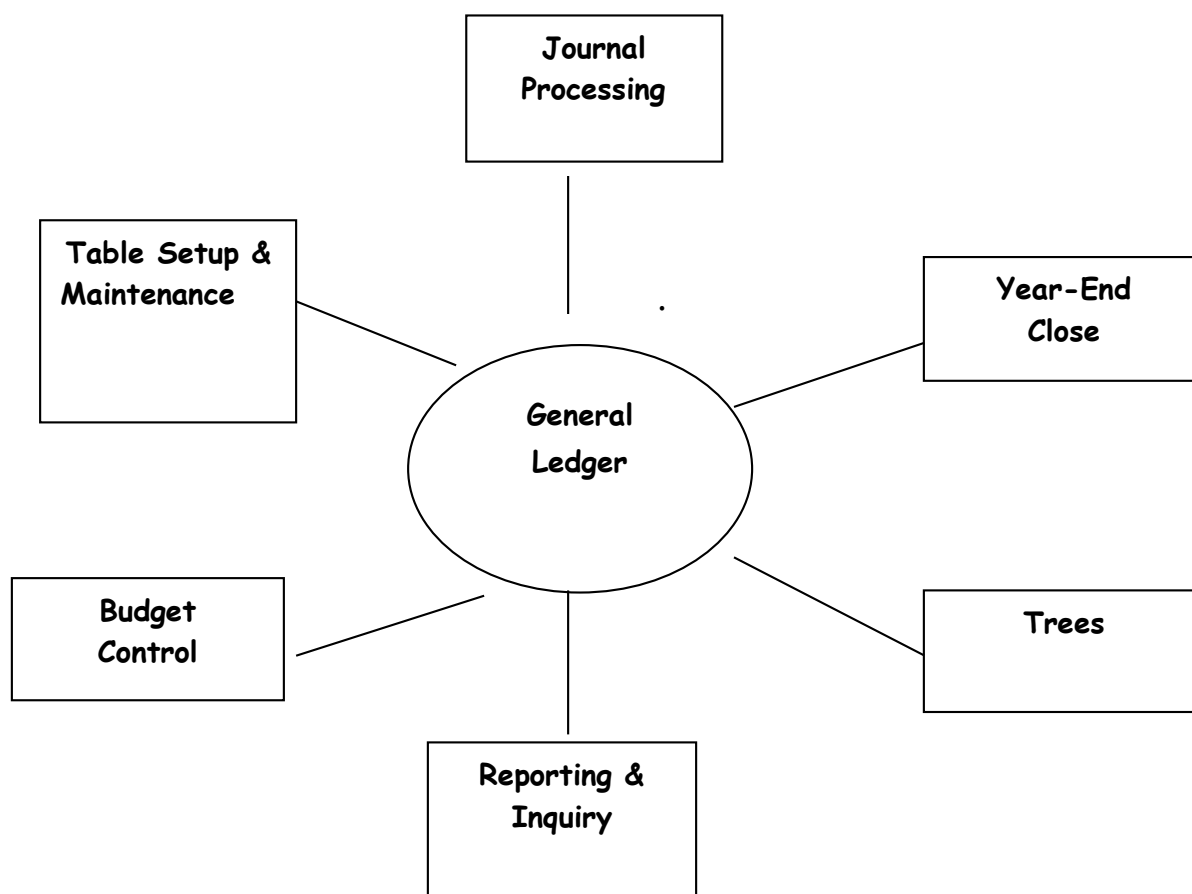
The activity of acquiring goods or services to accomplish the goals of an organization.

The major objectives of purchasing are to (1) maintain the quality and value of a company's products, (2) minimize cash tied-up in inventory, (3) maintain the flow of inputs to maintain the flow of outputs, and (4) strengthen the organization's competitive position. Purchasing also involves (a) development and review of the product specifications, (b) receipt and processing of requisitions, (c) advertising for bids, (d) bid evaluation, (e) award of supply contracts, (f) inspection of goods received, and (g) their appropriate storage and release.

General Ledger Commitment Control

The Commitment Control module is tightly integrated with General Ledger. Commitment Control is used for budgetary control. It refers to the process of defining and tracking the actual expenses incurred through each module. Commitment Control limits includes comparing the actual expense or expenditure against approved annual appropriations and includes pre-encumbrances (requisitions), encumbrances (purchase orders) and expenditures (vouchers).

The following illustrates the major components of the General Ledger. These will be discussed throughout this manual.



Ledgers

Ledgers store posted general ledger journals for a set of Chart field values by accounting period and fiscal year. They represent a set of books for each business unit and are usually populated by journal entries. There are several ledgers that are

delivered with the SAP system. Most campuses are currently using the actuals Ledger, which stores all transactions except budgets and the STD_BUDGET Ledger, which stores budget information. General Ledger Set-up requirements

The following are the major fields in a ledger table

- Business Unit (BU)
- Ledger (i.e. Actuals, Expenditure Budget)
- Currency
- Fiscal year
- Accounting period

(Year-to-date balances are not stored but instead are calculated at the time a report is run)

The posting companies assigned to sub system transaction lines must be defined as general ledger companies, but not as subsystem companies. The system makes sure an intercompany relationship exists between the originating company and the posting company in the General ledger system.

DEFINITION

Activities

Activities identify the actual tasks being performed for the activity group, or overall project. An activity can represent services, channels, customers, products, and so on. The activities can be used in all subsystems that report and post data to the General Ledger system.

Currency Information

Currency information contains the instructions for defining currency information.

Currency Codes

A currency code represents the currency you use in conducting business. You assign a base currency code and optional report currency to each general ledger company

during setup and use currency codes throughout applications. The base currency identifies the operating currency of the general ledger company and is used for financial reporting according to international accounting standards.

Exchange Rates

Exchange rates are used to convert an amount in one currency to another currency. You must define an exchange rate for each currency relationship you perform currency exchange for. The currency relationship must have **(Active)** selected in the Exchange Status field

Translation Codes

A translation code identifies the type of translation rate to apply to an account balance to calculate the translation value. You must define translation codes before you define translation rates. You can assign a translation code to a detail account in your chart of accounts to identify the translation rates used to translate the account balance to a base currency or report currency. All accounts assigned the same translation code have balances translated using the same rate.

Translation Rates

Translation rates are used to translate an account balance from the account currency to a base currency or report currency.

Currency Information

You must assign a translation code and define translation rates for each currency relationship you translate balances for. You can define translation rates by currency table or by company. If you define translation rates by currency table, the rates are used as the default translation rates for all companies that use the currency table. You can define different rates for a specific company. You cannot define direct translation rates between triangulated currencies.

Language Codes

If any of your vendors or customers require external documents in a language other than the default language in the Authority, you must define language codes for these vendors and customers. Note: you do not need to define a language code for the base environment language (the default language used at your site); a language code of spaces always represents the default language.

The language codes that you define must also exist in the Environment language def program.

Company Structure

Structure consists of defining a company and the respective accounting units. Full General Ledger system users only.

Company

A general ledger company represents a business unit or legal entity in your organization. The reporting, security, sub system processing, and accounting needs of your organization determine the number of general ledger companies you need to define. When you define a general ledger company, you assign a chart of accounts and base currency, define the organizational levels, and select company-wide general ledger processing parameters.

Exchange Differences

Exchange gain and loss accounts are used to post differences between the beginning and ending currency value of a transaction. For example, if you enter an invoice with an exchange rate, and the rate changes by the time you pay the invoice, the system posts the difference to a gain or loss account. You must define exchange gain and loss accounts for a currency relationship with a blank system code first.

Chart Maps for Consolidated Reporting

ZESA Holdings and its subsidiaries uses the same chart of accounts and currency as well as the same Accounting calendar. There is need to produce consolidated financial accounts for the ZESA Group.

Upon producing reports there is need to consider the following:

- Which transactions are selected for the report,
- What transaction fields print, and
- How selected transactions are sorted, totaled, and printed.

A Journal Entry

The journal entry header information applies to all transaction lines you define for the journal entry. On the Journal Entry form, you can inquire on journal entry totals and define journal comments. You can define a normal or intercompany journal entry. The system automatically creates balancing Journal vouchers (JV) entries.

Every journal to be posted in the system should be checked and authorized before posting by the next senior level official.

Report Currency Journal Entries

You can override or define journal entries for report currencies only. For example, you can create a report currency only journal entry to correct report currency amounts in a closed. If the journal entry was released and posted at the beginning of

the month, the exchange rate defined for the report currency and company base currency may have changed by the end of the month.

MASTER DATA

Chart of Accounts

Policy

To facilitate the record keeping process for accounting all ledger accounts are assigned a descriptive account title and account number.

Definition

A chart of accounts consists of a chart of Statement of Financial Position summary and detail accounts, a chart of income statement summary and detail accounts, and system accounts used to post undistributed retained earnings, retained earnings, error suspense, translation gain and loss, report currency rounding adjustments, and base currency auto-balancing adjustments. Summary accounts are used as headings for reporting and for totaling and subtotaling. The depth assigned to a summary account determines the order of account totaling. A summary account can have detail accounts, which are used for creating and posting journal entries.

The options defined for each summary and detail account determine how the accounts are presented for displaying and printing, how currency processing is affected, and, optionally, which subsystems can use the accounts. More than one chart of accounts maybe defined to accommodate a variety of reporting requirements, but only one functional chart of accounts maybe assigned to each company for posting purposes. However, the same chart of accounts can be assigned to more than one company.

When a new chart of accounts is defined, a chart of accounts name and description must be defined as well as summary and detail accounts for both the balance sheet and income statement sections of the chart, system accounts must be selected.

Procedure

General ledger account can be created from scratch or copy an existing account in the master data with similar information and edit description. It can also be created in company code or chart of accounts

A) In company code

When an account is created in company code, it means the account is created in a specific company code e.g. in Powertel only and that account is not accessible to all other companies.

B) In chart of accounts

When we create an account in chart of accounts it means we are creating this account in the ZESA chart of accounts but is not yet created in any specific company.

C) Centrally

When we create an account centrally it means we are creating this account in both in the ZESA Chart of accounts as well as specific company code.

Copying a Chart of Accounts

A chart of accounts can be defined by copying an existing chart of accounts. The copy process, copies summary accounts, detail accounts, and all account options.

The following are the advantages of copying a chart of accounts:

- 1) Errors will be eliminated because when you have made errors on creating an account this would affect the account either on posting or on consolidation.
- 2) Its quicker and save time when creating a General Ledger Account.

Line Item Display

Tick: Enables line item display for the account.

For each line item, an entry is saved in an index table. This entry contains the connection between the line item and the account.

In the New General Ledger, line item display is always possible for the general ledger view. You have to set this indicator if you:

- Also want to see the line items in the entry view
- Want open item management

Accounts are arranged in the same numbering sequence in which they appear in the financial statements: that is assets accounts should be the first, followed by liability accounts, owner's equity expense accounts and revenue accounts.

The following ranges have therefore been selected for Zesa

Number Range	Descriptions
10000-99000	Assets and Capital
1000-24000	Assets
40000-69999	Investments
100000-139999	Cash and Banks
140000-159999	Debtors
160000-179999	Vendors
200000-299999	Miscellaneous Revenue
300000-399999	Materials Management
400000-499999	Expenses
800000-899999	Trading Revenue
900000-999999	Retained Earnings

The length of general ledger account number can be from 1 to 10 digits. G/L account numbers should be created sequentially, so as to avoid accounts being left out when assigning accounts to financial statements.

A sub-division among the balance sheet accounts is also designated by short-term to long-term, (i.e. current assets precedes long term assets and current debt precedes long-term debt accounts).

Further, accounts are numbered so that expense amounts are recorded according to the department that is accountable for the cost and the nature of the cost.

Unassigned number sequences should be left open within each group of accounts to provide additional accounts which may be added later.

DESCRIPTION AND DEFINITION OF ACCOUNTS

2.1 Each account is given a short title description that is brief but allows the reader to quickly ascertain the purpose of the account.

2.2 For training and to ensure consistent transaction coding as well as help other non accounting managers understand why something is recorded as it is, each account is defined. Definitions are concise and meaningful.

The definition tells the user what can be recorded in a specific numbered account.

Since the definitions are reference sources, they are developed for quick and easy look- up. The account number and name are on one line.

See Annexure (i) for a detailed copy of ZESA holdings chart of account

PROCESSING

RECORDING TRANSACTIONS IN THE GENERAL LEDGER

Policy

The accounting department is responsible for the proper posting of journals and entries to the general ledger and for the maintenance of the accounts to ensure accuracy, validity and reliability of financial records.

Purpose

To describe the functions for recording transactions and maintaining the general ledger.

Scope

This policy applies to all accounting personnel with involvement in recording accounting transactions.

Procedure

POSTING TRANSACTIONS AND JOURNALS

1.1 The computerized accounting system aids in the maintenance of journals and posting of transactions to general ledger accounts. The following functions are performed on a monthly basis to update the general ledger for the month's activities:

- a. All transactions are required to have proper coding at minimum to the individual fund, program, grant and general ledger codes. All check requests must be on the proper division coding sheets. Return any incorrectly coded check requests to the originator.
- b. All activities recorded in journals will be posted to the general ledger using the computerized posting feature. These journals include:
 - General Journal
 - Cash Receipts Journal
 - Cash Disbursements Journal
 - Payroll Journal
- c. The recurring adjusting journal entries will be posted via the general journal. Recurring journal entries will be established for adjustments that occur equally each monthly accounting period. Recurring journal entries can include the following:
 - Amortization of prepaid expenses
 - Depreciation of fixed assetsRecurring journal entries are reviewed monthly and adjusted accordingly.

- d. Adjusting journal entries are prepared for transactions that have not been recorded in other journals or to correctly restate account balances to accurate amounts. The need to make adjusting journal entries may be due to any of the following:-
- Accrual of income and expense items
 - Correction of errors
 - Recording of non cash transactions

All journal entries are reviewed and authorized by the Controller before being posted. Adequate supporting documentation will be prepared and maintained for each journal entry.

In SAP we use Posting Key (Pstky)

A two-digit numerical key that determines the way line items are posted.

This key determines several factors including the:

- Account type
- Type of posting (debit or credit)
- Layout of entry screens

The internal code of a journal type.

Examples:

- 40 Debit - General Ledger
- 50 Credit – General Ledger

Copying a Journal Entry

If you want to define a journal entry similar to an existing journal entry, you can quickly copy the existing journal entry, and then make necessary changes. You can also use the copy process to easily create a reversing journal entry

Editing Unreleased Journal Entries

Before you release or post journal entries, you can review the journal entries for errors and make corrections. For companies that use journal control, you can also review control totals and make corrections.

Journal Entries

Policy

To ensure efficient processing and record keeping. All journal entries must be properly prepared and reviewed by appropriate accounting supervisors.

Purpose:

To describe the process for preparing journal entries.

Scope:

All journal entries made to general ledger system.

Procedure:

Journal Entries/Vouchers (JV's) are used to record items in the general ledger, including correcting items that were recorded to the wrong general ledger account. They are only used for items where actuals have posted (i.e. a previous journal entry, a payroll entry, or an accounts payable entry). Journal entries may not be used for correcting Purchase Orders

All journal entries are processed through the General Accounting Department. Backup documentation is maintained in the General Accounting Department for future reference. The Controller has final authority for all journal entries.

The Journal Entry Form is to be completed by the accounts clerk and reviewed by accounting officer or any senior person. The appropriate back-up detail should be attached supporting each entry.

Complete the Journal Entry Form as follows:

1. Complete Location line, school, department, etc., or use three-digit location code.
2. Fill in the Prepared by line i.e. signature, title and date.
3. Enter the account numbers.
4. Enter the Debit and Credit amounts affecting the accounts. Debits increase expenses and decrease revenues. Credits increase revenues and decrease expenses.
5. Move Benefit dollars associated with salary.
6. Move Pro-comp dollars associated with salary.

7. Total the debit and credit columns at Page Total. The total amounts must be equal.
8. Complete the description lines with enough detail as to allow an individual without first-hand knowledge of the entry to understand why the entry is being made. Important information to include is purpose of entry and the month and year that the entry affects.
9. Attach supporting detail to the Journal Voucher Form. Supporting detail is anything that you used to determine that the entry is needed (i.e. screen prints, memos, Lawson reports)

A copy of all approved journal vouchers should be kept

For a company that has selected “Yes” in the Control Total fields on the Journals form tab in GL10.1 (Company), make sure the control amount and system amount match before you release a journal entry. If the amounts do not match, you must either change the control amount or change the journal entry so that the system calculated amounts are correct.

Editing Unreleased Journal Entries

For each journal entry, make sure the value in the Control Amount field equals the actual (system-calculated) amount, which displays below the control amount. If the amounts are not the same, complete one

Parked Journal Entries

After you review unreleased or parked journal entries and make necessary corrections, you can release the journal entries. A journal entry must be in balance and, for a company that uses journal must have matching control and system amounts before you release the journal entry. Releasing a journal entry changes the journal entry status to Released, makes the journal entry transaction lines available for posting, and, for an intercompany journal entry creates the inter-company balancing entries.

Processing Recurring Journal Entries

A recurring journal entry is a journal entry that occurs more than once, such as a journal entry for a monthly rent payment, quarterly payroll tax, or semi-annual real estate tax. Recurring journal entries are similar to regular journal entries. However, you must release and transfer recurring journal entries to the General Ledger system for posting.

The processing cycle for recurring journal entries consists of the following procedures:

Reversing a Journal Entry

You can define a reversing journal entry to reverse an incorrect journal entry that has been posted to the General Ledger system. You can then define a new, correct journal entry, if needed.

REPORTS

Running Financial Statements

After posting journal entries, you can run a trial balance, Statement of Financial Position, income statement report or Statement of Cashflows. This section contains the following procedures for running these optional reports:

Running a Trial Balance Report

Trial Balance creates a trial balance report of units and amounts for a company. You can create a consolidated trial balance report for specific levels or accounting units or for an entire general ledger company. The report shows if the company or level is in balance. You can include amount and unit totals in the report for the company base currency; report currency one; report currency two; base currency, report currency one, and report currency two; or transaction currency.

Running a Statement of Financial Position

Statement of Financial Position creates a Statement of Financial Position report showing the current year and last year data for a company or section of a company for a specified period.

Statement of Financial Position accounts and creates headings and totals based on the chart of accounts setup. You can create a consolidated balance sheet for specific levels or accounting units or for an entire general ledger company.

Running an Income Statement

Income Statement creates an income statement report for a company or section of a company for a specified period. The report uses Chart Section 2 (income statement) accounts and creates headings and totals based on the chart of accounts setup. You can create a consolidated income statement for specific levels or accounting units or for an entire general ledger company.

Closing an Accounting Period

After you post all the journal entries for a period, you must close the accounting period for each general ledger company or company group. When you run Period

Closing to close an accounting period, the program • creates automatic reversing journal entries, • labels the period as closed, • increases the current period number by one, and • changes processed journal entries to Historical status.

When you close the last accounting period of the fiscal year, the closing program performs additional steps.

Consolidating General Ledger Data

If you process transactions for the same general ledger company on more than one machine, you can transfer data from one machine to another to consolidate financial information for the company. You can transfer period balance data, which creates summarized balance information for each posting account for a fiscal year, or you can transfer summarized transaction data, which creates summarized balance information for each posting account for each period of a fiscal year.

You can also transfer balances from one or more general ledger companies to a designated consolidation company to consolidate financial information for an organization.

This section contains the following procedures for consolidating general ledger data:

- Transferring Period Balance Data
- Transferring Summarized Transaction Data
- Consolidating Company Balances

ARCHIVING

Deleting General Ledger History

GL300 (General Ledger History Delete) lets you delete historical journal entry transactions, comments, consolidation records, and budgets for a fiscal year. GL300 deletes records from General ledger history must be at least two years old before GL300 deletes it. You can delete all record types at the same time or delete each record type separately.

To historical general ledger information

Changing the Calendar-Based Fiscal

The example in this section shows the results of changing a calendar-based fiscal year to a custom fiscal year. In the original calendar, the current period is 12, ending on 12/31/2022, in fiscal year 2022. In the new calendar, the current period is 6, ending on 12/31/2021, in fiscal year 2021. The system rolls all period balances back six periods. The balances assigned to the original calendar period 12 now reside in

the new calendar period 6. In the new calendar, the current year balances in periods 7 through 12 are now zero. The system adjusts the beginning balances for the current year and last year to reflect this change.